

Are AI data centers subsidized when it comes to water and infrastructure?

Posted by u/vagabond17 • 0 points • 4 comments

I've been reading about large AI data centers, and I've seen claims that they use a lot of water for cooling, with a recent story they'll be consuming 40% of Pennsylvania's excess water

<https://therealnews.com/data-center-14-million-deal-to-consume-40-of-pennsylvania-towns-excess-water>

How exactly does that work? Do they use drinking water?

Also, when these facilities are built, are taxpayers subsidizing their water or infrastructure in any way, or are the companies covering the full cost?

Comments

u/Dead_Medic_13 • 1 points • 2026-02-19 22:46 UTC

It depends on whatever deal they got from the local government. But generally yes, none of these data centers are being created using 100% private equity.

u/joeljaeggli • 1 points • 2026-02-19 19:36 UTC

400,000 gallons a day is 1.5 seconds or so of the average flow of the Susquehanna river.

u/Affectionate-Book655 • 1 points • 2026-02-20 05:08 UTC

My question is, where does the water go? Unless they heat it to boiling, the water is still there... it has to either go back out into nature, or it's an enclosed system. For lower energy costs, I bet they would use the water and release it at a warmer temperature. But if they release it, why does the "water usage" aspect come into play? Warm water might hurt fish in rivers and create algae blooms, but it's not like it's removing from nature.

u/vagabond17 • 1 points • 2026-02-20 00:57 UTC

Thats pretty wild

u/Ghigs • 1 points • 2026-02-19 17:27 UTC

Usually they cut some kind of deal. I don't know if subsidized is the right word, for example TSMC basically builds their own water treatment plant, recycling most of their water.

So in some cases high tech water users are investing quite a lot in infrastructure. They aren't just consumers.